



DC Credit Protect

TRAINING MATERIAL

FUNERAL COVER

PRODUCT TRAINING - FUNERAL

LONG-TERM INSURANCE ACT

In South Africa, funeral cover is subject to specific regulations, primarily under the Insurance Act. The key aspect is a maximum payout limit of R100,000 per life insured per policy. This means that while individuals can hold multiple funeral policies, the payout from each individual policy is capped at this amount. The regulatory landscape is currently undergoing further review to enhance consumer protection and address issues like fraudulent claims and "ghost policies".

Here's a more detailed breakdown:

Key Regulations:

- Maximum Payout:

The most significant regulation is the R100,000 limit on funeral cover payouts per life insured per policy over the age of 18 years.

Children younger have specific amounts that can be paid out towards a funeral.

NB! Person younger than 18 years cannot be a life insured alone – can only be dependant.

- Multiple Policies:

Individuals can hold multiple funeral policies with different insurers, potentially exceeding the R100,000 limit in total payout. However, the payout from any single policy is still capped at R100,000.

- Funeral Class of Business:

Funeral policies fall under the "Funeral Class of Business" within the insurance sector. This class has specific rules and regulations designed for this type of insurance.

- Underwriting:

Funeral policies often don't require extensive underwriting (medical assessments) at the application stage, unlike some other insurance types. This can lead to waiting periods and exclusions for pre-existing conditions being included in the policy.

- Regulatory Review:

The Financial Sector Conduct Authority (FSCA) is actively working to strengthen the regulatory framework for funeral insurance. This includes addressing concerns about fraudulent claims, ensuring accurate records, and promoting transparency and fairness.

Benefits for clients to have a Funeral Cover

- Financial Security:

Funeral cover provides a financial safety net, ensuring that your loved ones are not burdened with the costs of a funeral during a difficult time.

- Peace of Mind:

Knowing that funeral expenses are taken care of can offer significant peace of mind, allowing you and your family to focus on grieving and remembrance.

- Fast Payouts:

Funeral policies often provide quicker payouts compared to traditional life insurance, which can be crucial for immediate funeral expenses. DCCP aim to payout funeral within 48h.

- Affordable Premiums:

Funeral cover premiums are generally lower than those for comprehensive life insurance, making it more accessible for a wider range of individuals.

- No Medical Exams:

DCCP funeral policies don't require medical examinations, making it easier to obtain coverage, especially for those with pre-existing health conditions.

NB – Funeral cover protects DC/ Mediator due to client not having to skip or reverse payments to cover funeral cost – Food for thought.

Understanding funeral cover

Funeral cover is an insurance policy that you pay for monthly. It pays out a single amount - a lump sum - when you (or a family member covered in the policy) pass away and we receive a valid death claim. You can take funeral cover for yourself, your immediate family, your parents, parents-in-law and even extended family members such as aunts, uncles and cousins.

What does funeral insurance cover?

When the person covered under the policy passes away, the policy pays out an amount of money. The amount paid out can be used towards funeral-related expenses like a coffin, tombstone, and catering for the funeral. This ensures that when the time comes to say goodbye, your family will be able to cover funeral costs and avoid going into debt.

What is needed for a Funeral Cover:

- A physical address is required to issue the policy.
- E-mail address – Should the client not have an email address; The DC or Debt Mediator should then ensure that the client receives the documents.
- Complete the application in FULL at all the relevant sections.
- Ensure that the application document is signed.
- If you do have a copy of the ID, please attach it.

PRODUCT DETAIL

1. BENEFIT SUMMARY (FUNERAL)

The following products will be offered to Members:

Name of Benefit	Amount of the Benefit	Benefits payable in the following events	Description of Benefit	Benefits Payable to:
Individual Funeral Cover	R 10,000 Depending on the cover chosen.	Natural & Unnatural (including Accidental) Death as well as Suicide.	The benefit amount will be payable in cash.	Nominated Beneficiary. Older than 18 years.
Individual Funeral Cover	R 20,000 Depending on the cover chosen.	Natural & Unnatural (including Accidental) Death as well as Suicide.	The benefit amount will be payable in cash.	Nominated Beneficiary. Older than 18 years.
Individual Funeral Cover	R 30,000 Depending on the cover chosen.	Natural & Unnatural (including Accidental) Death as well as Suicide.	The benefit amount will be payable in cash.	Nominated Beneficiary. Older than 18 years.
Family Funeral Cover	R 10,000 Depending on the cover chosen.	Natural & Unnatural (including Accidental) Death as well as Suicide.	The benefit amount will be payable in cash.	Nominated Beneficiary. Older than 18 years.
Family Funeral Cover	R 20,000 Depending on the cover chosen.	Natural & Unnatural (including Accidental) Death as well as Suicide.	The benefit amount will be payable in cash.	Principal Insured or his / her Nominated Beneficiary. Older than 18 years
Family Funeral Cover	R 30,000 Depending on the cover chosen.	Natural & Unnatural (including Accidental) Death as well as Suicide.	The benefit amount will be payable in cash.	Principal Insured or his / her Nominated Beneficiary. Older than 18 years

Maximum cover per any one sum assured under this scheme:

R30 000.00

2. ENTRY AGE

Minimum entry age for Principal Insured	18 years
Maximum entry age for Principal Insured	65 years
Cessation Age	N/A

Cover Options:

BENEFIT	AMOUNT OF THE BENEFIT
• Individual Funeral Cover	R10 000 or R20 000 or R30 000
Family Funeral Cover (* Husband, wife and 5 children)	R10 000
• Husband	R10 000
• Wife	R10 000
• Children 14 - 21	R10 000
• Children 7 - 13	R5 000
• Children 0 - 6	R2 500
• Children Stillborn	R1 250
Family Funeral Cover (* Husband, wife and 5 children)	R20 000
• Husband	R20 000
• Wife	R20 000
• Children 14 - 21	R20 000
• Children 7 - 13	R10 000
• Children 0 - 6	R5 000
• Children Stillborn	R2 500
Family Funeral Cover (* Husband, wife and 5 children)	R30 000
• Husband	R30 000
• Wife	R30 000
• Children 14 - 21	R30 000
• Children 7 - 13	R15 000
• Children 0 - 6	R7 500
• Children Stillborn	R5 000

Cover Amounts:

BENEFITS	BENEFIT VALUE	RETAIL PREMIUM
Individual Funeral Cover	R10 000	R75.00 p/m
Individual Funeral Cover	R20 000	R105.00 p/m
Individual Funeral Cover	R30 000	R125.00 p/m
Family Funeral Cover	R10 000	R90.00 p/m
Family Funeral Cover	R20 000	R130.00 p/m
Family Funeral Cover	R30 000	R195.00 p/m

3. MEMBER AMENDMENTS:

Should a Principal Insured want to make any changes to his / her personal information or any other information pertaining to the Policy, he/she should contact DC Credit Protect at 012 881 0296 or e-mail admin@dccp.co.za and they will assist further with the amendment.

4. HOW DOES A MEMBER OF THE SCHEME CLAIM?

As soon as possible after the claim event and within the time period limits set out in the Policy Schedule, the Principal Insured or his/her Beneficiary should notify the Insurer of the event and complete a Claim Form. A claim form can be obtained from the DC Credit Protect at 012 881 0296 or by email from claims@dccp.co.za.

The claim form as well as all the supporting documentation required for the specific claim event should be submitted to the DC Credit Protect Claims department. Claim forms (including supporting documentation) should be submitted in electronic format to claims@dccp.co.za

DC Credit Protect can be contacted at 012 881 0296 for any further assistance with a claim. It is the responsibility of you the Policyholder to ensure documentation is in a clearly readable format. Incomplete or unreadable supporting documentation can delay the process of payment. Payment of the benefit shall be made to the Beneficiary (Finance provider) nominated and the

receipt of a benefit by the Beneficiary shall discharge the Insurer from any further liability. Only nominated Beneficiaries (Finance providers) will be considered when paying claims.

4.1 CLAIMS

Claims:	
Notification period from the date of the event should be within	6 calendar months from the date of the claim event
Submission of all required documentation to assess the claim should be within:	12 calendar months from the date of the claim event

5. Waiting Periods

Waiting Periods:	
Death Benefits:	
- Accidental Death	None, provided that the first premium has been received.
- Suicide	12 Calendar months from Entry Date or Reinstatement Date where applicable.
- Death due to natural or unnatural causes (other than accident / suicide)	6 Calendar months from Entry Date or Reinstatement Date where applicable.
Waiving of Waiting Periods allowed at onboarding?	Yes – if previous policy schedule can be provided.
- Proof of continuous insurance with another insurer, for the same benefit value in case of individual transfers.	Minimum period of 6 calendar months' proof is required.

What is a waiting period and why is it necessary:

A funeral cover waiting period is the initial time (usually 6 months) after a policy starts during which benefits aren't paid for death from natural causes, preventing fraud, but often with immediate cover for accidental death and longer waits (e.g., 12 months) for suicide.

It's a standard practice to keep premiums affordable by ensuring people aren't buying cover only when they know a death is imminent, but it means you must pay premiums for a set time before benefits kick in.

6. COMPLAINTS

If you have received inadequate information or unsatisfactory service or have complaints about the advice you have received, please contact AUL's Compliance Officer at: complaints@africanunity.co.za. Should you be unsatisfied with the complaints handling process of AUL's Compliance Officer, you can contact the Ombudsman for Long-term Insurance

Postal Address	Physical Address	Telephone
Private Bag X45 Claremont 7735	3 rd. Floor 21 Dreyer Street Sunclare Building, Claremont Cape Town 7700	0860 662 837 021 657 5000
Website	E-mail	Fax
www.ombud.co.za	info@ombud.co.za	021 674 0951

If your complaint relates to the intermediary/ broker who provided advice, you can contact the FAIS Ombud:

Postal Address
Financial Sector Conduct Authority
P.O. Box 35655
Menlo Park
0102

Physical Address
Kasteel Park Office Park
Orange Building, 2nd Floor
Cnr of Nossib and Jochemus Street
Erasmuskloof
Pretoria
0081

Website	E-mail	Telephone
www.faisombud.co.za	info@faisombud.co.za	012 762 5000

In the event that the Insurer repudiates liability for any claim under this Policy, the claimant shall have 90 (ninety) days from the date of notice of the repudiation within which to make representations to the Insurer disputing the repudiation of the claim.

If the claimant concerned does not, in respect of the subject matter of such claim, within 3 (three) years, after the 90 (ninety) day period to make representations, commence legal proceedings in a competent court and prosecute such proceedings to final judgement, any liability of the Insurer shall be extinguished, and no benefits shall be payable in respect of such claim and / or the insured event concerned.

7. POLICY SCHEDULE

7.1 Premium Collections

Premium Collections	
Name of entity's bank account into which premiums will be collected	Stratcol Premium Collections (Pty) Ltd
FAIS number of collecting company	46105
Payment of premiums	Monthly in advance on or before the preferred debit date.

Effective entry date of Individual Policyholders	Cover will commence on the date the application form is completed and signed.
Payment frequency of premiums	Monthly
Grace Period	15 days commencing on the first day of the month in which the premium is due.
Cooling-off Period	1 calendar month commencing on the first day of the month in which the premium was paid.
Number of consecutive premium misses before a policy lapse	2 premiums
Number of premiums missed during life cycle of policy before policy will lapse	2 outstanding payments in the lifetime of the policy

7.2 The Underwriting Management Agent

YOUR UNDERWRITING MANAGEMENT AGENT			
Company Name:	Alivio Financial Services (Pty) Ltd ("Alivio")		
Physical Address:	64 Zinnia Road, Ridgeworth Bellville, Cape Town.	Postal Address:	64 Zinnia Road, Ridgeworth Bellville, Cape Town.
Telephone Number:	(021) 054 0299	Email:	info@alivio.co.za
Legal Status:	Alivio Consulting (Pty) Ltd is an Authorised Financial Services Provider in terms of the FAIS Act. FAIS registration number: 50575		
FAIS Registration:	In terms of the FSP license, Alivio is authorised to give advice and render financial services for product. CATEGORY 1 : Long-term Insurance : Category A Long-term Insurance : Category B1 Long-term Insurance : Category B2 Long-term Insurance : Category C		
PI and FG Cover:	Alivio has a Professional Indemnity Cover and a Fidelity Guarantee Cover in place.		
Complaints:	You can access our Complaints Resolution Policy at: www.alivio.co.za or E-mail: complaints@alivio.co.za		
Conflict of Interest:	You can access our Conflicts of Interest Management Policy at: www.alivio.co.za		

7.3 The Insurer

YOUR INSURER			
i.	Company Name:	African Unity Life (Pty) Ltd ("African Unity")	
	Physical Address:	109 Jip de Jager Drive, Springfield Office Park, Bellville, Western Cape, 7530	Physical Address: P.O. Box 4061, Durbanville, 7550

	Telephone Number:	(086) 123 4555	Email:	reception@africanunity.co.za
ii.	Legal Status:	African Unity Life (Pty) Ltd is a licensed Life Insurer and an Authorised Financial Services Provider in terms of the FAIS Act.		
iii.	FAIS Registration:	In terms of the FSP license, African Unity is authorised to give advice and render financial services for product CATEGORY 1 : Long-term Insurance : Category A Long-term Insurance : Category B1 Long-term Insurance : Category B2 Long-term Insurance : Category C		
iv.	PI and FG Cover:	African Unity has a Professional Indemnity Cover and a Fidelity Guarantee Cover in place.		
v.	Complaints:	You can access our Complaints Resolution Policy at: www.africanunity.co.za or E-mail: complaints@africanunity.co.za		
vi.	Conflict of Interest:	You can access our Conflicts of Interest Management Policy at: www.africanunity.co.za		

8. Specific Exclusions

None

9. Definitions

Accidental Death

An unforeseen event, which could not reasonably have been expected to occur. The event must result in death caused directly and independently of all other causes by some external and visible means arising from this event and excludes death by natural causes.

Application Form

The form that the Principal Insured completes and nominates the Dependants and Extended Family Members to be insured under this Scheme. This form shall also state the option of benefits selected.

Beneficiary

The person/s as nominated by the Principal Insured, to receive the benefit, subject to the terms and conditions set out in this Policy and in the Policy Schedule, on the Principal Insured's death. Such persons to be nominated in writing and may be amended any time prior to your death.

Bodily Injury

Violent external and visible means caused by an Accident, but shall include Bodily Injury caused by starvation, thirst and exposure to the elements as a result of a Road Accident.

(Participation) Certificate

The document issued to the Principal Insured as proof of participation in the benefits of this Scheme.

Cessation Age	The Principal Member's age as specified in the schedule, at which age benefits would cease.
Children (Child)	Any or all of the following: 1) the Principal Insured's unmarried minor children, natural and/or legally adopted, who have been nominated on the Application Form or the Member Amendment Form and who have not yet attained the age of specified in the Policy Schedule. This age may be extended to an age specified in the Policy Schedule in respect of an unmarried child who is a full-time student at a registered tertiary institution. There will be no age restriction for children who are either mentally or physically incapacitated from maintaining themselves, always provided that the children are wholly dependent on the Principal Insured for support and maintenance. Once a child has become independent of the Principal Insured for support and maintenance, dependency and therefore definition of a child cannot be revived at a later date unless that child is still under the age specified in the Policy Schedule; 2) a stillborn child born to the Principal Insured or Spouse after the number of weeks (as specified in the Policy Schedule) of pregnancy, is included under this definition; 3) children also include all nominated or foster children at inception which are dependent on the Principal Insured.
Claims Ratio	The sum of claims paid and outstanding claims (reported, but not yet paid) as a percentage of Risk Premium, which can either be expressed as Gross or Net Risk Premium.
Commencement Date	The date specified in the Policy Schedule, specifying the Commencement Date of this Policy.
Cooling-off Period	An Opportunity for the policyholder to cancel the policy, providing no benefit has been paid or claimed within a period of 30 days of receipt of the participation certificate.
Defined Accidental Events	Where the Principal Insured or a Dependant sustains accidental bodily injury which results, within 3 (three) months thereof, in the death of the Principal Insured or a Dependant, solely and independently of any other cause; or In the event of the disappearance of the Principal Insured or a Dependant and the granting of a High Court order presuming the death of the Principal Insured or the Dependant.
Dependants	The Spouse and Children as defined.
Entry Date	The date each Principal Insured entered into the Scheme. This date is subject to the Insurer accepting the application form and should be

stated on both the Application Form and Participation Certificate of each Principal Insured.

Family	The Principal Insured and the Principal Insured's Dependants.
Grace Period	The period after the due date for payment of premiums, which the Insurer will allow the Policyholder to pay arrear premiums before Scheme benefits will be lapsed.
Gross Risk Premium	The premium which the Insurer charged for providing the insured benefits in terms of this Policy. It is also referred to as the risk rate. Gross Risk Premium is before deducting commission, binder fees and other administration fees. Gross Risk Premium is exempt from Value Added Tax (VAT) in terms of Section 2(1)(i) of the VAT Act No 89 of 1991.
Gross Written Premium	Refer Gross Risk Premium
Individual Policyholder	Refer Principal Insured.
Individual Policyholder	Refer Principal Insured.
Insured Event	The particular event, for which insurance has been obtained in terms of this Policy and set out in the Policy Schedule.
Insurer	African Unity Life Ltd, registration number 2003/016142/07, a registered long-term insurer in terms of the Long-term Insurance Act of 1998 and an Authorised Financial Services Provider (8447) in terms of the Financial Advisory and Intermediary Services Act of 2002.
Members (Insured Persons)	The Principal Insured as nominated on the Application Form and accepted by the Insurer.
Natural Death	A death by natural causes is the end result of an illness or an internal malfunction of the body not directly caused by external forces, typically due to old age. Indicated as Natural death on the death certificate.
Net Risk Premium	Net Risk Premium is Gross Risk Premium less commission, binder fees and other external administration fees and is the amount from which the Insurer has to pay internal administration expenses and claims.
Participating Group	A group, as stated in the Schedule, participation in the Scheme, which shall have its own Scheme Schedule.
Participating Group Entry Date	The date when a Participating Group becomes a Participating Group to this Scheme and after the Registration Form has been submitted to the Insurer.

Permanent employment	When the Principal Insured is working for another person or the state for at least 20 (twenty) hours a week and receiving a salary or wages under a contract of employment that does not have a known or implied finish date.
Policy	The document issued to the Policyholder which sets out the relevant terms and conditions applicable to the Scheme and relevant cover selected.
Policyholder	As referred to in the Policy Schedule. Also known as Scheme Owner.
Policy Schedule	The Policy summary, which sets out the particular benefits of the Scheme, included herein under Section 2 .
Pre-Existing Condition	Any condition, physical defect, illness, bodily injury or disability which the insured was aware of and/or received medical advice or treatment for in the defined period as indicated in the Policy Schedule (Paragraph 2) prior to the commencement date or date of any reinstatement.
Principal Insured	The person whose life is to be insured under this Policy and on whose death all other insurance cover on his/her Participation Certificate shall cease unless the Policy is transferred in terms of clause 3.5 . Where a Grouped Individual Policy is issued, the Principal Insured is also known as the Individual Policyholder .
Public Transport	Methods of transport available to the general public, which may include buses, trains and taxis, which run on a fixed route and where the passengers pay a fare.
Repatriation	The repatriation of the deceased within the border of the defined Territory.
Retail Premium	The premium which the Policyholder recovers from the Principal Insured.
Review Date	The date stated in the Policy Schedule on which the Insurer will review the risk profile, benefits and premiums of the Scheme.
Scheme	As referred to in the Policy Schedule.
Scheme Owner	As referred to in the Policy Schedule.
Spouse	The legal or common law husband/wife of a Principal Insured or such person residing with the Principal Insured for a period of longer than 6 calendar months, who is normally regarded by the community as the Principal Insured's husband/wife, and nominated at Entry date or added by completing the Member Amendment Form. Unless if premiums are determined separately for Spouses based on their age, a Spouse may not be older than the Principal Insured.

Staggered payment method	The payment method whereby Risk Premiums are paid to the Insurer in arrears, but with intervals shorter than the grace period and as indicated in the Policy Schedule.
Suicide	The act or an instance of taking one's own life.
Territory	The geographical areas covered under this Policy and as referred to in the Policy Schedule.
Unclaimed Benefits	A benefit which remains unclaimed for a period of 6 months from date of notification of an insured event.
Unnatural death	Any death other than death due accident/suicide. Indicated as unnatural on the death certificate.
Waiting Periods	The Waiting Period is the period subsequent to the Entry Date, and stipulated in the Participation Certificate, in which no benefits to a Principal Insured will be paid.

10. TERMINATION OF BENEFITS

The benefits of the Member shall terminate on the earliest of:

- The death or permanent disability of the Principal Insured, unless the option is available to transfer the Policy in terms of **clause 3.5** hereto;
- The Principal Insured failed to pay premiums;
- The Principal Insured is no longer an affiliated Member of a Participating Group;
- The lapse of the Policy in terms of the conditions of this Policy, set out in the Policy Schedule;
- The termination of this Scheme in terms of the conditions of this Policy.

The Participating Group may terminate this Scheme provided:

- *A written notice in accordance with the period specified in the Policy Schedule is given to the Insurer. On the completion of this notice period, i.e. the termination date, all claims where the date of occurrence is after the termination date will not be entertained under this Scheme;*
- *The Participating Group together with the alternative insurer must notify each Principal Insured under this Scheme of the change in insurer, plus any changes to benefits or terms and conditions under which benefits will or will not be paid plus the details of the new insurer in terms of the Policyholder Protection Rules under the Long-term Insurance Act of 1998;*
 - *No Membership alterations will be allowed in the notice period;*

- *For claims received after the termination date but where the event giving rise to the claim occurred prior to the termination date, the claims will be paid provided all conditions of this Policy are strictly adhered to.*
- *Should the Scheme dissolve for any reason, the Policies that form part of this Scheme shall be cancelled by the Insurer; unless otherwise agreed between the Participating Group and the Insurer or the Individual Policyholder.*
- *The cancellation of the Policies will occur on the date of disposal or cessation of the business of the Participating Group, or any earlier date that the Participating Group has notified to the Insurer in writing according to the notice period stated in the Policy Schedule.*
- *Upon the provisional or final liquidation, insolvency or judicial management of the Participating Group, the Insurer shall terminate the Scheme.*
- *The Insurer may terminate this Scheme by giving the Participating Group written notice in terms of the period specified in the Policy Schedule. The Insurer will then instruct the Participating Group to notify every Principal Insured of the termination and the date the Policies will cease to be covered by the Insurer.*

11. GENERAL EXCLUSIONS

None

DC CREDIT PROTECT - COMPANY DETAILS

COMPANY NAME:

DC Credit Protect (PTY) LTD

2019/433826/07

ADDRESS:

Glen Manor Office Park, Building 5
Ground Floor, Office 4,
150 Frikkie de Beer Street, Menlyn, Pretoria

CLIENT / APPLICATION ENQUIRIES

All enquiries with regards to client applications submitted as well as status of applications, should be followed up at:

TEL: 012 881 0296 or admin@dccp.co.za

E-MAIL ADDRESSES

Claims should be sent to claims@dccp.co.za

Any **cancellations and or amendments** – please e-mail the ADMIN team at admin@dccp.co.za.

CONTACT

Anja Burger	082 824 6166	anja@dccp.co.za	Call Centre Manager
Ravelle Kok	061 802 2837	ravelle@dccp.co.za	Sales & Relationship Manager
Cristi Smith	012 881 0296	finance@dccp.co.za	Finance Manager
Carel du Preez	083 225 5899	carel@dccp.co.za	Sales & Relationship Manager
Ilze du Preez	072 341 3752	ilze@dccp.co.za	Services/Training Consultant

Commission Payment Dates: Cut-Off: 5th of each month and reports are sent out for the 1st to the 31st of the PREVIOUS month, for the DC to confirm all are in order or make corrections. Commission Payment are done before the 15th of each month.

Capturing Dates: Cut-off: 24th of the month for Debit Order Date to be the 1st of each month. From 25th until end of current month, inception date will be the 1st of the following month.

SYSTEM URL

Production: <https://portal.colms.co.za/arsys/shared/login.jsp?/arsys/>